

BEFORE THE FEDERAL MARITIME COMMISSION

Docket No. 24-19

PELTON INTERACTIVE, INC.

v.

FLEXPORT INTERNATIONAL LLC

**RESPONDENT’S REPLY MEMORANDUM IN FURTHER SUPPORT OF ITS MOTION
TO DISMISS THE COMPLAINT**

I. INTRODUCTION.

On May 3, 2024, Complainant Peloton Interactive, Inc. (hereinafter “Peloton”), filed a verified complaint (Complaint) against Respondent Flexport International LLC (hereinafter “Flexport”), asserting violations of the U.S. Shipping Act (hereinafter the “Shipping Act”), 46 U.S.C. 40101, et seq. as amended by the Ocean Shipping Reform Act of 2022 (hereinafter “OSRA”).

Flexport moved to dismiss the Complaint due to the deficiencies in the allegations. Essentially, Flexport argues that Peloton fails to allege any facts which would put Flexport on notice as to the claims being asserted, including: (1) any shipment, bill of lading, invoice or charge in dispute; (2) which invoice requirements are missing from which invoices; (3) any practice or procedure of Flexport which would constitute a violation of the Shipping Act. Flexport further argued that Peloton’s claims are time-barred and/or are not subject to OSRA 2022 and that Commission does not have jurisdiction to rule upon a garden variety commercial breach of contract or false advertising claim.

In its Opposition, Peloton expends 25 pages defending its own Complaint with a confusing, circular, and unsubstantiated argument which (like the Complaint itself) merely consists of

conclusory arguments that the allegations are sufficient and that Peloton need not allege any facts at all in support of its claims. As Peloton summarizes its own argument: “While Peloton disputes much of Flexport’s recitation of “facts,” Peloton recognizes that disputes of fact are not appropriate for resolution on a motion to dismiss; greater detail is not required nor warranted at this stage.” (Opposition at p. 5).

It is telling that Peloton needed 25 pages to defend its own Complaint. It is also telling that Peloton’s defense is merely to argue that it does not need to defend its Complaint at all.

II. DISCUSSION.

A. Peloton’s argument that it does not need to provide sufficient facts to support its claims is untenable.

As set forth in the motion to dismiss, the primary issue with the Complaint is that Peloton not only failed to allege sufficient facts but in fact failed to allege any facts at all to place Flexport on notice of the claims asserted against it.

In response, Peloton presents the confusing and contradictory argument that: (1) it does not need to allege any facts at all; and (2) the Complaint does allege sufficient facts (without identifying to any).

Peloton argues that “Flexport’s arguments simply choose to ignore the detailed facts outlined in Peloton’s Complaint.” (Opposition at p. 12). Peloton then goes on – at length – to argue that the conclusory allegations in the Complaint are sufficient to withstand a motion to dismiss. However, in its 25-page Opposition, Peloton fails entirely to identify a single fact in its Complaint in support of its claims.

At the same time, Peloton mistakenly argues that:

Flexport attempts to impose a heightened *particularity* requirement on Peloton’s pleading, claiming more is required for Flexport to understand *how* it violated the Shipping Act, but all that is required at the pleading stage

is a clear and concise statement of the claim showing that the pleader is entitled to relief. 46 CFR § 502.62(a)(iii); *see also* Fed. R. Civ. P. 8(a)(2).

(Opposition at p. 12)

To be clear, Flexport relies upon *Iqbal*, *Twombly*, and the cases (including FMC cases) interpreting same, to set forth the applicable pleading standard. Undaunted, Peloton ignores the law as set forth by the United States Supreme Court and instead relies upon a 1994 decision from the District of New Jersey for the proposition that “It is not necessary for the plaintiff to plead evidence, and it is not necessary to plead the facts that serve as the basis for the claim.” (Opposition at p. 13).

Thus, in Peloton’s own words – it does not need to provide any facts in support of its claim at all. According to Peloton, its recitation of the elements of a claim, combined with purely conclusory allegations that Flexport violated the Shipping Act is sufficient to withstand a motion to dismiss.

Then, Peloton also argues, vehemently, that it did, in fact, set forth the factual allegations in the Complaint by detailing the practices alleged to have violated the Shipping Act. (Opposition at p. 14-15). Yet, all of these “facts” are merely conclusory allegations stating that Flexport violated the Shipping Act.

There is absolutely no reference to any invoice, charge, bill of lading, or shipment – nor any link between any such shipment and any practice or procedure, and Peloton still refuses to identify such in its Opposition.

Peloton then goes on to defend its lack of any factual allegations in the Complaint by pointing to the Alternative Despite Resolution section contained in paragraphs 48 – 51. Notably, these paragraphs are not included in the claims for relief, but merely refer to Peloton’s counsel’s actions in attempting to resolve this matter prior to litigation, including his provision of invoice

numbers. (Complaint at p. 49). It thus appears to be Peloton's position that its confidential settlement communications with Flexport should suffice for its failure to include any factual allegations in support of its claim, including the identification of any charges, invoices or shipments.

Regardless, as set forth in the motion to dismiss, in good faith Flexport has been trying to figure that out for months what Peloton's claims are before the vague complaint was filed. Flexport simply has no idea what the dispute is about – neither which invoices or line items are in dispute, nor what, exactly, Flexport is alleged to have done wrong. Again, Flexport asked Peloton's counsel to identify the line items and invoices in dispute and to advise as to the basis of the dispute – but he repeatedly refused to answer. Finally, Peloton's counsel merely stated “all of them”, without providing any details.

Now, in its Opposition Peloton statements stating that Flexport is aware of the issues as Flexport was provided a “list” of charges. (Opposition at p. 15). Yet, Peloton fails to mention that this “list” contained every single Flex ID (invoice number) that was ever generated for every shipment that Flexport moved for Peloton. There was no distinction as to which transactions are time-barred nor which ones were pre-OSRA '22. There was also no information provided for each transaction as to the nature of the dispute: no allegation of over-billing, no clarity on which ones contained detention, which ones contained demurrage, which invoice is alleged to be excessive (nor the reasons why), which invoices are alleged to be inaccurate (nor the reasons why). Peloton's counsel has repeatedly stated that Flexport was paid too much, and that Peloton wants 100% of all detention and demurrage invoices returned and accordingly.

It is telling that Peloton now relies upon these “facts”, as part of its emotive defense of its Complaint – pointing to these very communications in support of its argument that “Flexport

cannot credibly claim that the Complaint is insufficient or that it was not and is not on notice of Peloton's claims and possible damages following these discussions, which were aimed specifically at disputed detention and demurrage charges." (Opposition at p. 16).

Incredibly, at the same time, Peloton then proceeds to challenge the Commission's own rules of procedure and disclaim any responsibility to comply with *Iqbal* and *Twombly*. (Opposition at p. 14 – 15). Peloton's circular, unsupported position can be summed up by its statement: "Consistent with the well-established principles of notice pleading embodied in Rule 8 of the Federal Rules of Civil Procedure, a complaint before the FMC is sufficiently pled as long as it puts the defendant on notice of the claims against it—a standard that Peloton's complaint here more than satisfies. (Opposition at p. 15).

B. Peloton misconstrues the jurisdictional argument raised in the motion to dismiss.

Peloton either does not understand or deliberately ignores the arguments raised in the motion to dismiss as to the Commission's jurisdiction over the claims presented in the Complaint. Peloton goes on at length arguing that the Commission has jurisdiction over Shipping Act claims. Yet, Flexport does not dispute that assertion at all and does not (and would not) argue otherwise. Rather, Flexport only argued that the Complaint is lacking sufficient information (and indeed any facts at all) to enable the Commission to be able to determine if a Shipping Act claim is sufficiently alleged and to place Flexport on notice as to what claims are being asserted.

Peloton's belabored arguments are as incomprehensible as its Complaint. Further, Peloton's arguments only support Flexport's position – that, based upon the allegations of the Complaint, the Commission does not have sufficient information before it to even determine if a Shipping Act violation occurred.

Peloton’s reliance on *Rahal International Inc. v. Hapag-Lloyd AG*¹ is curious. Peloton points out that the respondents in *Rahal International Inc.* attempted to recast complainant’s Shipping Act claims as COGSA claims, arguing they were within the sole purview of the federal courts, and not the Commission. (Opposition at p. 8). Here, Flexport’s arguments do not even come close to such proposition as the claims do not involve COGSA or any cargo loss.

Similarly, Peloton’s arguments regarding Flexport’s “reliance” upon the Commission’s decision in *SeaFair USA LLC v. Sterling Container Line Ltd.*² is confusing, misleading and reflective of the overly-defensive posture taken by Peloton in its Opposition. Peloton attempts to brush off the Commission’s decision in *SeaFair* by stating (in bold) that the decision did not concern a motion to dismiss. Peloton fails to appreciate or understand that this fact is irrelevant. Peloton goes on to state that Flexport relies upon *SeaFair* as its “primary” support for the “untenable” proposition “that a regulated entity’s policies and practices with respect to assessing demurrage and detention are outside of FMC jurisdiction simply because a bill of lading was issued for a shipment.” (Opposition at p. 9).

Peloton then concludes its doomsday soliloquy with the bold statement that “If the issuance of a bill of lading was sufficient to preclude the FMC from having jurisdiction over a dispute, the FMC’s jurisdiction would shrink to almost nothing, including making Congress’s mandate in OSRA 2022 virtually meaningless.” Opposition at p. 9 – 10).

Yet, Flexport never made such a preposterous argument in its motion. Rather, Flexport merely argued that it was not the purpose of the Commission to evaluate the terms of bills of lading to determine who was responsible to pay demurrage and detention charges. This was in response

¹ *Rahal International Inc. v. Hapag-Lloyd AG Hapag-Lloyd (America), LLC, and Hapag-Lloyd USA, LLC*, FMC Dkt. No. 23-05, 2023 WL 6391708, *1 (ALJ Sept. 27, 2023).

² *SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926 (ALJ April 15, 2024).

to Peloton's allegations in its Complaint that simply because Flexport issued a through bill of lading, this would somehow obviate any liability of Peloton to be responsible for demurrage and detention charges – a position which is completely contrary to the law, Commission precedent (as illustrated in *SeaFair*), as well as common sense.³ That is all.

It is ridiculous to suggest that Flexport argues that the Commission does not have jurisdiction to hear claims under the Shipping Act. That is clearly the veritable purpose of the Commission. Flexport merely argues that the Commission must make a determination as a threshold issue that a Shipping Act claim is, in fact, actually alleged. Here, the Commission must dismiss the Complaint since there is zero indication other than legal conclusions (many of which are clearly incorrect) and the barebones recitation of a Shipping Act elements to inform the Commission that there is a cognizable claim before it.⁴

III. CONCLUSION

Based on the foregoing and as set forth in the Motion to Dismiss, Flexport respectfully requests that the Commission dismiss the Complaint.

³ It is important to note that Flexport does not argue that the Commission does not have jurisdiction to determine whether Flexport violated the Shipping Act by assessing demurrage and detention charges, regardless of whether same were on “store-door” shipments or otherwise. What Flexport argued is that Peloton's assertion that Flexport could not assess D&D charges because these were “store-door” shipments were not Shipping Act claims, but rather breach of contract claims which would necessarily involve the interpretation of the bill of lading and tariff – which the Commission in *SeaFair* expressly stated it would not do. The fact that the Commission made this decision after discovery and at the conclusion of the case only supports Flexport's arguments.

⁴ Peloton also has the audacity to insult the Commission and the Presiding Officer in suggesting that they would be (or indeed could be) “distracted” by anything Flexport put into its motion. (Opposition at p. 1, 2 and 5). Flexport submits in the utmost good faith that the Complaint is inexplicably and unnecessarily devoid of any factual allegations to put anyone – including Flexport and the Commission – on notice as to what the claims are.

Dated: July 9, 2024

Respectfully submitted,

SPECTOR RUBIN, P.A.

By: /s/ Andrew R. Spector

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on July 9, 2024 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Andrew Spector
Andrew R. Spector, Esq.